Digital Signal Intelligence (DSI)

A New Information Substrate for Insurance

THE GOVERNING VARIABLE

US MGA success is determined by one thing above all others: the quality of the capacity relationship. Capacity providers allocate preferentially to MGAs who demonstrate superior risk selection, not just volume, not just growth, but a defensible, documented, consistent track record of selecting better risks than the market average. Everything else in the MGA model flows from this single variable.

The problem is that most MGAs cannot prove their selection quality beyond experience and experience is not portable, nor auditable. Loss runs are lagging indicators that tell a capacity provider what happened, not why, nor whether it will happen again under different conditions. The capacity conversation is won or lost on a foundation that is structurally weak.

DSI REPLACES INTUITION WITH EVIDENCE

Every risk decision documented, signal-verified, and auditable. A capacity provider presented with a DSI-scored book — where every approval traces back through observable signals to a defined tier assignment — is looking at a fundamentally different quality of analytical rigour than the market currently offers. That rigour is the basis for preferred capacity terms. Preferred capacity terms start the flywheel.

THE E&S FLYWHEEL

Selection

> Signal-verified risk decisions with full audit trail.

Capacity Proof

> Documented selection quality earns preferred terms.

Positioning

> Better terms enable faster, more competitive placement.

Loss Performance

> Superior selection base drives loss ratio improvement.

Capacity

> Performance record deepens capacity relationship.

The E&S market is now over $100B in premium and growing faster than any other segment as admitted carriers shed complexity. MGAs are the primary underwriting vehicle for that growth. The speed and volume pressure is more acute here than anywhere else in the world, which makes the selection discipline that DSI provides more valuable here than anywhere else. An MGA that can process Tier 1–2 risks in minutes while routing Tier 3–5 to experienced review is structurally positioned to capture E&S volume growth without the adverse selection that destroys capacity relationships.

WHAT DSI DELIVERS

Capacity Proof Package

> DSI generates a carrier-ready analytical output for every risk decision: composite score breakdown by signal category, tier assignment rationale, specific signals flagged, confidence score, and complete premium derivation with modifier transparency. This is the documentation a capacity provider needs to evaluate selection quality — not anecdote, not loss runs, but a forward-looking signal-based record of every decision made and why. It is the analytical credential that preferred capacity allocation requires.

Adverse Selection Defence

> The E&S market attracts risks that admitted carriers have declined. DSI's seven signal types surface the adverse selection patterns that broker submissions routinely obscure. What a company does not disclose is as informative as what it does. An MGA running DSI on every submission identifies the risks that self-reported documentation presents as standard but observable signals mark as elevated, before bind, not at claim.

Volume Without Degradation

> E&S growth opportunity is constrained by underwriting capacity, not market demand. DSI's automated Tier 1–2 approval — 75–85% of clean submissions — allows the same underwriting team to process dramatically higher volumes without degrading selection quality. The MGA that can scale E&S volume on a consistent, signal-verified selection base is the MGA that earns capacity expansion rather than capacity restriction when loss experience is reviewed.

Program Business Discipline

> For MGAs running program business across homogeneous classes, DSI provides consistent algorithmic risk triage at scale. The same selection logic applied consistently across thousands of risks produces better average selection than variable human review — and produces a portfolio whose composition can be demonstrated to capacity providers and reinsurers with the same signal-verified audit trail that governs individual risk decisions.

THE CAPACITY CONVERSATION TRANSFORMED

Today, an MGA renewing capacity tells a story — experience, market knowledge, loss history, team quality. DSI changes that conversation to evidence. "Our Tier 1–2 risks, representing 78% of our book by count, have produced a loss ratio of X against a market average of Y. Here is the signal-verified selection record for every risk in that cohort." That is a conversation a capacity provider cannot have with any MGA not running DSI, and it is the conversation that determines who gets preferred terms and who accepts market terms.

QUESTIONS AND ANSWERS

Q: DSI sounds compelling as a methodology, but what makes it a standard and not another tool?

The traditional underwriting model has existed for over 300 years and has never produced an accepted standard. That is not a coincidence, it is a structural impossibility. A model built on subjective judgment, that is neither canonical nor deterministic, cannot become a standard no matter how long it operates.

DSI has the opposite characteristics: observable, repeatable, consistent, auditable, non-gameable. These are the characteristics that allowed FICO to become the global credit standard — a parallel the US market understands well. The path to acceptance follows a 12–24-month forward validation period across early adopters. Once that evidence base exists, capital excluded from insurance by its opacity enters to back transparently-scored risk.

For US MGAs, the standard argument has a specific force: a capacity provider who sees DSI-scored books consistently outperforming market loss ratios does not need to be persuaded of the methodology. The performance record makes the argument. MGAs who build that record first occupy a position that cannot be replicated by later adopters working from a shorter track record.

Q: Does DSI create any issues with US state regulatory requirements for pricing models?

DSI uses only publicly available external data and produces fully explainable, algorithmically-defined pricing decisions. It does not use protected class information or demographic proxies — signals are drawn from observable organisational behaviour, digital infrastructure, network relationships, and public records. Every premium is traceable through a defined signal-to-tier-to-premium chain that satisfies state regulatory requirements for pricing transparency in both E&S and admitted lines. The methodology is designed to be interrogatable by state insurance departments, and the audit trail it produces is more rigorous than the judgment-based pricing it replaces.

Q: How do we present DSI performance to our capacity providers at renewal?

DSI generates a complete portfolio-level analytical output alongside individual risk decisions: tier distribution across the book, signal category performance by cohort, conditions triggered and their outcomes, confidence score distribution, and loss ratio by tier. At capacity renewal, an MGA can present not just what the book produced but why — which tier cohorts performed, which signals were most predictive, and how the selection model has been refined based on emerging loss data.
This is the forward-looking analytical conversation that capacity providers want to have and currently cannot, because the selection record does not exist in an auditable form.

Q: How does DSI handle the speed requirements of the E&S market?

DSI's end-to-end workflow — entity discovery, signal extraction across all pipelines, three-layer assessment, tier assignment, and premium output — benchmarks at under two minutes per submission. Tier 1–2 decisions are auto-approved with full audit trail in that window. Tier 3–5 risks route to underwriter review with a complete signal report already prepared, reducing review time to interpretation rather than assembly. The E&S market's speed requirement is met for most risks, and the minority that require human review receive better-prepared files than the current process produces.